Fergus McCormack

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Darwin College, University of Cambridge, CB3 9EU, United Kingdom

Education

University of Cambridge 2022 – 2027 (expected)
PhD in Economics
Advisors: Eric French, Weilong Zhang

University of Cambridge 2020 – 2021
MPhil in Economic Research (Distinction)

University of Edinburgh 2016 – 2020
MA in Economics (First Class Honours, Ranked 1st in Cohort)

University of Pennsylvania (Exchange) 2018 – 2019
GPA: 3.96/4.0, Dean's List

Research Interests

Health Economics, Labor Economics, Public Economics, Behavioral Genetics, Applied Microeconomics.

References

Eric French
Montague Burton Professor of Industrial Relations and Labour Economics
University of Cambridge
eric.french.econ@gmail.com

Weilong Zhang
Associate Professor of Economics
University of Cambridge
weilong.zhang@econ.cam.ac.uk

Kai Liu
Professor of Economics
University of Cambridge
kl450@cam.ac.uk

Job Market Paper

The "Depression Trap": Genetic Risk, Labor Supply, and the Case for Precision Psychiatry
Joint with Qianyu Yang

Abstract. Why is depression linked to persistent non-employment, and how can mental health care be better targeted to improve mental health and employment outcomes? Using longitudinal UK panel data, we provide evidence for the "depression trap": a self-reinforcing cycle of poor mental health and non-employment, using event studies of depression recurrences and redundancies. Early treatment could disrupt this cycle, but it is challenging to predict who will enter the trap. We show that a Polygenic Index for depressive symptoms constructed using molecular genetics data is a uniquely powerful predictor of the depression trap and its persistence. We embed the depression trap mechanism in a structural life-cycle model of health, labor supply and treatment, and evaluate using genetics data to allocate treatment. We find that targeting therapy towards individuals with high genetic risk for depression improves the clinical efficacy of treatment by 29%. Furthermore, we estimate that by increasing employment through improved treatment allocation, the information provided by genetic risk generates a net fiscal surplus sufficient to finance the cost of universal genotyping.

Working Papers

The Economic Cost of Depression: Triangulation Using Panel and Mendelian Randomization Analyses
Joint with Robert Campbell and Benjamin Woolf

Abstract. Depression, poor educational attainment, poor health, and unemployment form a correlated web that reduces human flourishing, but the causal links between them are unclear. We estimate the causal effect of depressive symptoms on educational and labour market outcomes by triangulating four research designs across economic, clinical, and genomic data. In UK longitudinal data (305,686 person-wave observations), a one standard-deviation (s.d.) rise in depressive symptoms lowers income in the following wave by 0.036 s.d. and employment by 0.044 s.d.; instrumenting symptoms with bereavement gives larger but less precise short-run estimates. Two genetic designs capture lifetime liability: two-sample Mendelian randomization on summary statistics from up to 2.1 million individuals, and a polygenic index instrument in the genotyped UKHLS subsample. In these designs, genetic liability to depression lowers income by 0.24–0.49 s.d., educational attainment by 0.14–0.46 s.d., and occupational status by 0.36–0.65 s.d. The education and occupation penalties fall almost entirely on women, while most of the income penalty for both sexes runs through employment rather than pay. The economic cost of depression accumulates over the life course, so treatment before labour-market entry may yield the largest economic returns.

Not All Made Equal? Genetics, Ageing and Wellbeing: Evidence from the UK
Joint with Alan Piper (draft available upon request)

Abstract. Life satisfaction is U-shaped over the life cycle, and roughly 40% of the variation in wellbeing is heritable. We ask how genetic predispositions for wellbeing interact with ageing. Matching a wellbeing polygenic index (PGI) to panel data from the British Household Panel Survey and the UK Household Longitudinal Study, we establish three results. First, the PGI predicts substantial and statistically significant differences in life satisfaction at *every* point in the life cycle. Second, the U-shaped age profile of wellbeing holds *within* both high- and low-PGI groups. Third, individuals with a lower PGI face a *more pronounced* U-shape, so the genetic wellbeing gap is widest in middle age and narrower at the tails. The first two findings are robust to a within-family design that controls for parental PGIs, while the third fails to replicate in the within-family sample. A mediation analysis shows that declining physical health accounts for roughly one-third of the age variation in the gap.

Works in Progress

The Genetic Child Penalty: Evidence from the UK and Norway
Joint with Emil Sørensen, Stephanie von Hinke, and Eivind Ystrøm

Abstract. Does the child penalty reinforce genetic inequality? Using Norwegian administrative data linked to molecular genetic information, we estimate gene–environment ($G \times E$) event studies around first birth. Women below the median polygenic index for educational attainment experience an employment penalty 1.5 percentage points larger initially, widening to 4 percentage points after ten years. The gap persists controlling for education, implying mechanisms beyond schooling. UK household panel data corroborate the pattern. Policies reducing the child penalty generate a double dividend: improving gender equality *and* attenuating the economic consequences of the genetic lottery.

Genetic and Economic Interaction in Health Formation: The Case of Obesity
Joint with Pietro Biroli and Qianyu Yang

We develop a structural model of health and human capital formation in which genetic endowments shape both the utility cost of health investments and the technology of health production, and hence the incentives to invest in healthy habits. Taking body mass index as the measure of health and physical activity and food intake as the investments, we study how these choices interact with variants in *FTO* and other loci associated with BMI in genome-wide association studies, using cohort data on British adolescents and US adults.

Publications in Other Fields

From Screening to Support: Structured Bibliotherapy and Community-Based Well-Being Programs as Adjuncts to the Older Adults with Cancer–Depression Scale
Joint with Catherine J. Michelutti. *Cancer*, 2026, 132(16), e70565 (letter to the editor).

Presentations

Invited Seminars and Workshops

2026: USC CESR Seminar Series in Social Science Genetics*; UCL QSS and CLS Seminar Series; MiSoC Workshop on Mental Health and the Labour Market; LSE Wellbeing Seminar Series.

2025: University of Oslo PROMENTA (×2); LSE Wellbeing Seminar Series.

Conferences and Workshops

2026: EEA-ESEM; CEPR Longevity and Ageing Conference; ESSGN Conference; EDGE Jamboree; Annual Health Econometrics Workshop.

2025: ESSGN Conference; Economics of Mental Health Workshop.

2024: ESSGN Conference.

Cambridge: Applied Micro PhD Workshop (2024, 2026); Labor/Public Reading Group (2024–26); PhD Macroeconomics Workshop (2022, 2023); Macroeconomics Reading Group (2023); Public Health Showcase (2023); Darwin College Social Science Seminar (2025).

Discussant: Economics of Mental Health Workshop (2025, ×2); EDGE Jamboree (2026).

* scheduled

Selected Professional Experience

European Central Bank 2021
Trainee, Euro Area External Sector and Euro Adoption Division

InvesTAO Ltd 2020
Research Intern

Barclays Investment Bank 2019
Intern, Equity Research

Scholarships and Awards

University of Cambridge Faculty Trust Funding Award (£3,000) 2026
University of Cambridge Faculty Trust Funding Award (£4,500) 2025
SHARE Foundation Egalitarian Capitalism Award (£1,500) 2025
Arnold Ventures Travel Grant, Economics of Mental Health Workshop ($500) 2025
Doctoral Training Programme Studentship, ESRC (∼£85,000) 2022 – 2025
Forethought Fellowship (£5,000) 2022
Open Philanthropy Early Career Funding (£15,000) 2022
University of Edinburgh Prizes for Top Dissertations and Overall Performance (£1,000) 2020
Japanese Government MEXT Undergraduate Studies Scholarship (offered, ∼£65,000) 2017

Teaching

Lecturer, Downing College Summer Programme, University of Cambridge 2024, 2025
Introductory Economics, Applied Microeconomics Average Rating: 4.8/5

Lecturer, Mawhiba International Enrichment Programme 2023, 2024
Economics & Entrepreneurship Average Rating: 4.8/5

Teaching Assistant, Sun Yat-Sen Business School Executive MBA Programme 2024
Global Campus (Finance, Organisational Behaviour, Sustainable Development, Asset Management)

Graduate Teaching Assistant, University of Cambridge 2023 – 2024
Macroeconomics (Diploma in Economics)

Service

Refereeing: *Journal of Labor Economics*, *The Economic Journal*

Organizer, Cambridge Labor Economics Reading Group 2025 – 2026
Co-Coordinator, Economics PhD Applicant Mentoring Program (AMP) 2024
Mentor, Economics PhD Applicant Mentoring Program (AMP) 2022 – 2025
President, Darwin Entrepreneurs' Club 2023 – 2025
Founded and organized the £5,000 Darwin College Business Plan Competition
Lecturer, Gonville & Caius College Outreach Programme 2023, 2025
Undergraduate Thesis Supervisor, University of Cambridge 2023 – 2024
Undergraduate Admissions Interviewer, Murray Edwards College, Univ. of Cambridge 2023, 2024

Personal Information

Languages English (native), French (advanced), Japanese (advanced), Irish (intermediate)
Citizenship Ireland
Programming R, MATLAB, Stata, Python, Julia